

ACME CORP - FORM 10-K

For the fiscal year ended December 31, 2023

ITEM 1. BUSINESS

Acme Corp is a leading provider of innovative widgets and solutions. Our business focuses on scaling enterprise efficiency. In 2023, we expanded our global footprint despite macroeconomic challenges.

ITEM 1A. RISK FACTORS

Our business is subject to various risks and uncertainties.

Supply Chain Disruptions: We continue to face unprecedented delays in our raw material supply chain. This risk has escalated significantly compared to the prior year, causing us to adopt a more defensive inventory strategy.

Regulatory Changes: New environmental regulations in our primary markets may increase our operational costs by up to 15%. This is a newly identified risk for 2023.

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

This section discusses our financial performance for the year.

Total revenue for 2023 was \$1,500.0 million, representing a 10.5% growth year-over-year. Gross margin improved to 42.0%, primarily due to pricing adjustments.

However, we remain cautious about the upcoming fiscal year. While we are confident in our product pipeline, we cannot guarantee that consumer demand will remain stable given the fluctuating interest rates. We anticipate operating margin to be around 18.5%, down slightly as we invest in R&D.

Our net debt to EBITDA ratio stands at 2.1x. Capital expenditures (CapEx) as a percentage of revenue was 8.0%. Return on Invested Capital (ROIC) for the period was 14.2%.